

DICTIONARY

Confused with all these web3 terms?
Here is a breakdown of the words we've covered so far.

WEB3 BASICS

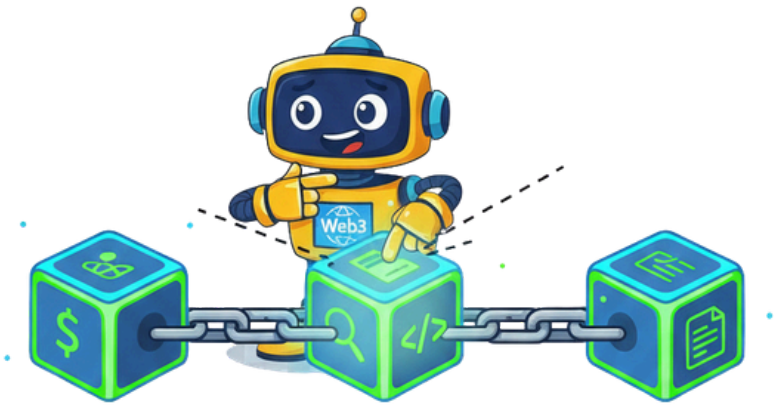
Web3	The new internet where you own your stuff. Not controlled by big companies- all decentralised.
Web2	The current internet. (e.g., Instagram, Google). You use them for free, but they own your data - all centralised
Blockchain	A shared digital notebook that everyone can see, but no one can erase or change. It runs entirely on code.
Centralised	A single person, company, or organisation is in control- and has access to all data.
Decentralised	No single person or company in control. Power is spread across thousands of computers worldwide.



WEB3 FOR NOOBS

BLOCKCHAIN: WHAT'S INSIDE A BLOCK

Blocks	Pages in the blockchain notebook. Each block contains a list of transactions.
Hash	A **digital fingerprint**. Unique to each block. If data changes, the hash changes completely.
Validator	A computer that checks and confirms transactions on **proof-of-stake blockchains** (like Ethereum).
Timestamp	A digital stamp showing exactly when a block was created.
Nonce	A random number computer races to guess. The first one wins the right to add the next block
Block Number	The **block's position** in the chain. Block 1 → Block 2 → Block 3. Like page numbers.
Operator	The **person** who runs the computer that helps the blockchain work.



WEB3 FOR NOOBS

WALLETS & KEYS

Hot wallet

A crypto wallet **connected to the internet** (e.g., MetaMask, Phantom). Convenient for daily use, but more vulnerable to hacks because it's always online.

Cold wallet

A **crypto wallet kept offline** (e.g., Ledger, Trezor). Safer for long-term storage because it's not connected to the internet. Hackers can't reach it.

Public key

Your **wallet address.** A string of letters and numbers. Like an email address, share it freely to receive crypto.

Private key

Your **master password**. Proves you own the wallet. Never share it. Never store it online. Lose it = lose your crypto forever.

Seed phrase

A set of **12 or 24 random words** that backs up your entire wallet. Write it down on paper. Store it safely offline. Never take a photo. Never type it online.



WEB 3 FOR NOOBS

TRANSACTIONS & FEES

Crypto

Digital money that lives on the internet. No banks. No borders. You control it. Examples: Bitcoin, ETH, SOL.

Wallet Address

A unique string of letters and numbers where you send and receive crypto. Like a bank account number, but you create it yourself, no bank needed.

Gas fees

Transaction fees are paid to validators to process your transaction. The more complex the transaction, the higher the gas fee.

Network Bridge

A tool that lets you move crypto from one blockchain to another. Example: send ETH from Ethereum to Solana.



WEB3 FOR NOOBS

NETWORKS & TESTNETS

Network	A blockchain. It's the digital infrastructure where transactions happen, and apps live.
Ethereum	A programmable blockchain. The digital city where decentralised apps live (DeFi, NFTs, games).
Polygon	A "Layer 2" network built on top of Ethereum. Same security as Ethereum, but transactions are faster and cost pennies instead of dollars.
Solana	A fast, low-cost blockchain. Built for high-speed apps like trading, gaming, and payments. Processes thousands of transactions per second.
Testnet	Practice mode for crypto. No real money. No risk. Just learning. Use testnet tokens to experiment with wallets, bridges, and apps before using real funds.
Mainnet	The real blockchain. Real money. Real transactions. Real consequences. What people use for actual crypto activities.
Testnet Token	Free tokens used on testnets. No monetary value. Designed for learning and testing.

SMART CONTRACTS & ORACLES

Smart Contract	Code that runs automatically when conditions are met. Like a vending machine. No middleman.
Oracle	A messenger that brings real-world data (flight delays, weather, election results) to the blockchain.
Hybrid Smart Contract	Smart contract + oracle working together. Code + real-world data.
Prediction Market	A place where people bet real money on future events (e.g., who will win an election). The price of a "Yes" share tells you the crowd's probability.
Polymarket	A prediction market built on Ethereum (via Polygon). Users bet USDC on outcomes. Smart contracts hold funds, track bets, and pay winners automatically.



WEB 3 FOR NOOBS

STABLECOINS

STABLECOIN	A type of cryptocurrency with a fixed value. Usually backed by the USD, other fiat, commodity and crypto.
Fiat-backed	When a stablecoin is backed by a stable currency. e.g., USD, Euros, Hong Kong Dollars(HKD), etc.
Crypto-backed	When a stablecoin is backed by a stable currency. e.g., USD, Euros, Hong Kong Dollars(HKD), etc.
Commodity-backed	When a stablecoin is backed by another cryptocurrency, e.g., Bitcoin, Ether, etc.
USDT	Most commonly used stablecoin, issued by the company **Tether** (USD**T**)
USDC	Another commonly used stablecoin, issued by the company **Circle** (USD**C**)
TradFi	**Traditional** Finance is a centralised system relying on banks, brokers, and regulators to manage, control, and settle financial transactions.
DeFi	**Decentralised** Finance is a decentralised ecosystem using blockchain smart contracts to automate lending, trading, and borrowing without middle men.

WEB 3 FOR NOOBS